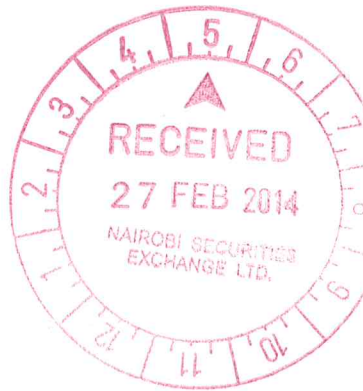




Your home of value!



Uchumi Supermarkets Limited

Box 73167 - 00200 NAIROBI

Fax: +254 (020) 554768, 553501

Email: customerservice@uchumi.com

Yarrow Rd., Off Nanyuki Rd (Industrial Area)

Mobile - 0722-205442, 0733-410028

Landline - (Head Office) 020-650707, 550368, 651194

Wireless - 020-2041267, 2062769, 8020080/1-5

27th February 2014

The Chief Executive Officer
Nairobi Securities Exchange
1st Floor, Nation Centre
NAIROBI

Dear Sir,

**RE: UCHUMI SUPERMARKETS LTD CONSOLIDATED FINANCIAL STATEMENTS
HALF YEAR ENDED 31ST DECEMBER 2013**

Enclosed please find the following relating to Uchumi Supermarkets Ltd half year 2013/14 results:

- (a) Condensed balance sheet;
- (b) Condensed income statement;
- (c) Condensed statement showing all changes in equity;
- (d) Condensed cash flow statement; and
- (e) Accounting policies.

Please acknowledge receipt.

Yours Faithfully,

Chadwick Omondi Okumu
Finance Manager

UCHUMI SUPERMARKETS LIMITED
AND SUBSIDIARIES

INTERIM FINANCIAL STATEMENTS (EXTRACTS)

SIX MONTH PERIOD ENDED 31ST DECEMBER 2013

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UCHUMI SUPERMARKETS LIMITED AND SUBSIDIARIES
COMPANY INFORMATION
FOR THE YEAR ENDED 30 JUNE 2013

PRINCIPAL PLACE OF BUSINESS

Uchumi Supermarkets Limited
Yarrow Road,
Off Nanyuki Road
P.O. Box 73167
00200 NAIROBI

REGISTERED OFFICE

Uchumi Supermarkets Limited
Yarrow Road,
Off Nanyuki Road
P.O. Box 73167
00200 NAIROBI

BANKERS

Kenya Commercial Bank Limited
Kencom House
Moi Avenue
P.O. Box 48400
00100 NAIROBI

Barclays Bank of Kenya Limited
Barclays Plaza
Loita Street
P.O. Box 30120
00100 NAIROBI

Equity Bank Limited
NHIF Building
P.O. Box 75104
00200 NAIROBI

Commercial Bank of Africa
Mara and Ragati Roads – Upper Hill
P.O. Box 30437
00100 GPO
NAIROBI

AUDITORS

Ernst & Young
Kenya Re Towers – Upper Hill
P.O. Box 44286
00100 NAIROBI

REGISTRARS

Funguo Registrars Limited
Uchumi House
Moi Avenue
P.O. Box 1133
00200 NAIROBI

SECRETARY

Pauline Kimotho
Yarrow Road,
Off Nanyuki Road
P.O. Box 73167
00200 NAIROBI

CHIEF EXECUTIVE OFFICER

Dr. Jonathan Ciano
Yarrow Road,
Off Nanyuki Road
P.O. Box 73167
00200 NAIROBI

UCHUMI SUPERMARKETS LTD
CONSOLIDATED BALANCE SHEET AS AT:

ASSETS

NON-CURRENT ASSETS

Property, Plant and Equipment
Investment Properties
Intangible Assets
Prepaid Operating Lease Rentals
Deferred Tax Asset

**30th June
2013**

Kshs'000

**31st
December
2013**

Kshs'000

2,255,442

1,480,000

21,707

19,470

71,599

3,848,218

2,337,195

1,480,000

16,627

19,335

71,599

3,924,756

CURRENT ASSETS

Inventories
Trade and other receivables
Tax recoverable
Cash and bank balances

1,185,065

435,791

-

104,459

1,725,315

1,521,564

483,317

2,339

160,203

2,167,423

TOTAL ASSETS

5,573,533

6,092,179

SHAREHOLDERS' EQUITY AND LIABILITIES

CAPITAL AND RESERVES

Share Capital
Reserves

1,327,133

1,598,279

2,925,412

1,327,133

1,705,208

3,032,341

NON CURRENT LIABILITIES

Term Loans

200,000

200,000

CURRENT LIABILITIES

Trade and other payables
Deferred Revenue
Amounts due to related parties
Tax Payable
Term loans
Bank overdraft

1,845,793

12,264

16,054

673

180,309

393,028

2,448,121

1,983,019

11,587

-

-

83,394

781,838

2,859,838

TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES

5,573,533

6,092,179

UCHUMI SUPERMARKETS LTD
CONSOLIDATED INCOME STATEMENT
SIX MONTHS ENDED 31ST DECEMBER

	HALF-YEAR 2012/13		HALF-YEAR 2013/14	
	MONTH	YTD	MONTH	YTD
	31st December 2012	31st December 2012	31st December 2013	31st December 2013
	Kshs'000	Kshs'000	Kshs'000	Kshs'000
Net Sales	1,544,741	7,588,712	1,469,748	7,286,101
Cost of Sales	(1,264,223)	(6,112,694)	(1,080,247)	(5,834,776)
Gross Profit	280,518	1,476,017	389,501	1,451,324
Other Income	127,410	213,198	52,369	293,529
	407,928	1,689,215	441,870	1,744,853
Operating Expenses	(304,309)	(1,547,145)	(367,125)	(1,611,768)
Profit from Operating Activities	103,619	142,070	74,745	133,085
Finance Costs	(7,036)	(10,136)	(2,736)	(26,156)
Profit Before Taxation	96,584	131,934	72,009	106,929
Profit Per Share				
Basic and Diluted	0.36	0.50	0.27	0.40
No of shares	266mln	266mln	266mln	266mln

UCHUMI SUPERMARKETS LTD
GROUP STATEMENT OF CHANGES IN EQUITY

	Revaluation Reserve Kshs'000	Translation Reserve Kshs'000	Share Capital Kshs'000	Share Premium Kshs'000	Accumulated Losses Kshs'000	Total Kshs'000
At 1 July 2012	700,658	(67,343)	1,327,133	1,090,015	(392,653)	2,657,810
Transfer to accumulated losses	(10,842)				10,842	-
Dividends Paid					(79,627)	(79,627)
Profit for the year		(9,781)			357,010	357,010
Other comprehensive income for the year						(9,781)
At 30 June 2013	689,816	(77,124)	1,327,133	1,090,015	(104,428)	2,925,412
Profit for the half-year period to 31 December 2013					106,929	106,929
At 31 December 2013	689,816	(77,124)	1,327,133	1,090,015	2,501	3,032,341

UCHUMI SUPERMARKETS LTD
CONSOLIDATED CASH FLOW STATEMENT

FOR PERIOD ENDED	31st Dec 2012 Kshs'000	31st Dec 2013 Kshs'000
NET CASH FLOWS FROM OPERATING ACTIVITIES	256,963	(4,707)
Income Tax paid	(1,347)	(2,980)
Net cash used in operating activities	255,616	(7,687)
INVESTING ACTIVITIES		
Purchase of property, plant and equipment	(224,372)	(226,499)
Purchase of intangible assets	-	-
Proceeds from sale of plant and equipment	-	-
Net Cash generated from investing activities	(224,372)	(226,499)
FINANCING ACTIVITIES		
Repayments on long-term loans	(51,205)	(96,915)
Payment of dividends	-	-
Net Cash generated from financing activities	(51,205)	(96,915)
NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS	(19,962)	(331,101)
CASH AND CASH EQUIVALENTS AT BEGINING OF PERIOD JULY 1ST	(305,137)	(288,569)
Effect of exchange rate movements	(2,143)	(1,965)
CASH AND CASH EQUIVALENTS AT END OF PERIOD	(327,242)	(621,635)